

NZ Forecast update: Higher oil prices to keep inflation close to the top of the RBNZ's target band

#inflation

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With oil prices surging, we've revised up our forecast for NZ inflation over 2026. But even with a stronger near-term inflation outlook, the RBNZ is not expected to hike rates sooner than previously anticipated.



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- We have revised up our forecasts for New Zealand inflation over 2026 due to the significant rise in oil prices following the outbreak of war in the Middle East.
- We can't say with any certainty how long the conflict will last. However, we've already seen a sharp rise in domestic petrol prices. This note looks at some of the possible implications for overall inflation over the next couple of years.
- We now expect inflation will remain close to the top of the RBNZ's target band for most of this year, cooling only modestly to 2.6% by the close of 2026.
- Inflation is expected to remain higher than the RBNZ previously assumed over 2026.
- Even with a stronger near-term inflation outlook, the RBNZ is not likely to hike rates sooner than previously anticipated, reflecting the related downside risks for activity. We continue to expect the RBNZ will remain on hold until December.
- The extent of the lift in inflation is dependent on the duration and severity of the conflict in the Middle East, as well as related moves in the New Zealand dollar. In this note we also explore some alternative scenarios.

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